



Time: 5 minutes

Outcome: Identify Oligopoly Structure, Strategic Interdependence & Concentration.

Difficulty: Intermediate

Oligopoly Structure, Strategic Interdependence & Concentration

THE CORE IDEA

An oligopoly contains only a few important firms, so each firm's decisions depend on expected rival responses. Differentiation can exist in both; strategic few-firm response is distinctive. Dominant shares and strategic interdependence point to oligopoly. With only a few important firms, one firm's action can provoke responses that change its own payoff.

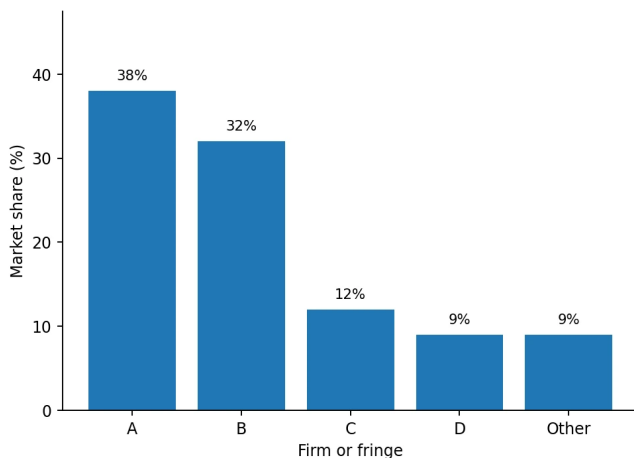
HOW TO RECOGNIZE IT

- Look for a market dominated by a few firms with meaningful barriers to entry.
- Each firm's price, output, or advertising decision depends on how rivals are expected to respond.
- Use concentration measures as evidence about structure, not as a complete verdict about competition.
- The defining clue is strategic interdependence among the important firms.

WATCH OUT

Do not use firm count alone. Dominant shares and strategic interdependence point to oligopoly. Concentration depends on the boundaries of the relevant market.

WORKED EXAMPLE: MEASURING MARKET CONCENTRATION



The named firms contribute $38^2 + 32^2 + 12^2 + 9^2 = 2,693$ HHI points. The remaining 9% is labeled Other, an unspecified fringe. If it were one firm, it would add $9^2 = 81$ points. Thus 2,774 is an upper bound, not an exact HHI. An exact calculation requires the individual fringe shares.

CHECK YOURSELF

Why can an aggregate Other category not generally be squared as if it were one firm when calculating exact HHI?